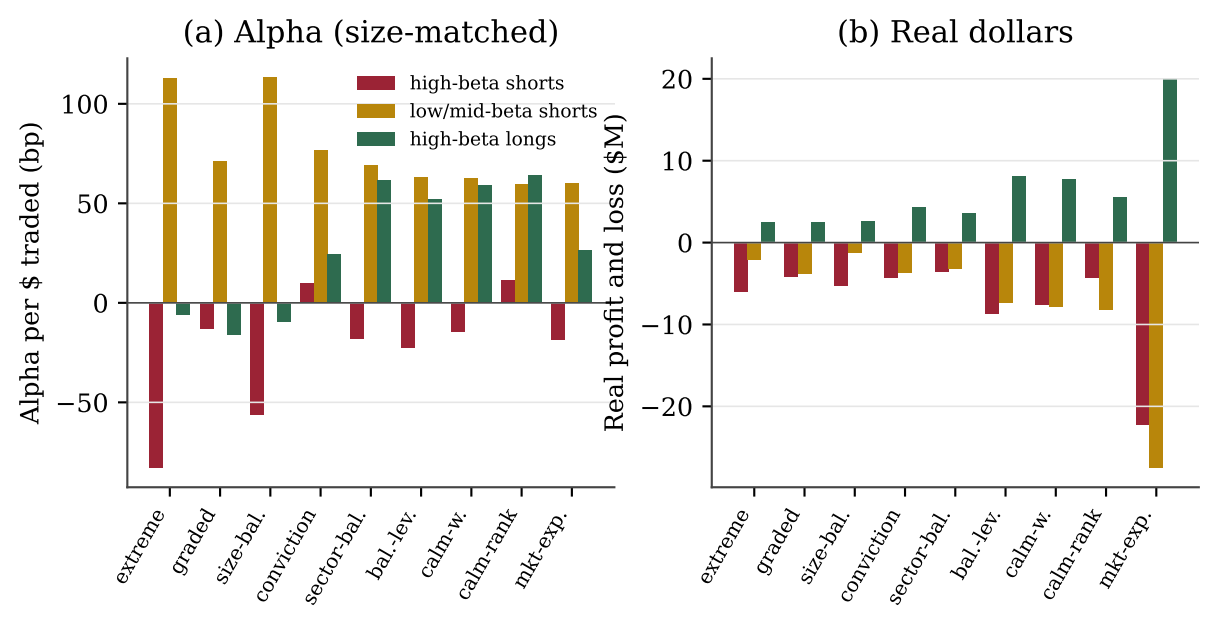
(a) Alpha (size-matched)
(b) Real dollars
high-beta shorts
low/mid-beta shorts
high-beta longs
Alpha per $ traded (bp)
Real profit and loss ($M)
100
50
0
−50
20
10
0
−10
−20
extreme
graded
size-bal.
conviction
sector-bal.
bal.-lev.
calm-w.
calm-rank
mkt-exp.